Medbury Healthcare Group

NGN 696 M of capital, and where every naira of it sits.

Line	Where it sits	NGN M	Share
Digital X-ray, shielding and console	Ground floor, fixed by weight and shielding	**90.0**	**13%**
Laboratory: chemistry, haematology, coagulation, immunoassay, PCR	The chalet	**180.0**	**26%**
Ultrasound with Doppler	Ground floor	**45.0**	**6%**
Echocardiography	Ground floor	**35.0**	**5%**
Cardiology: ECG, Holter, ambulatory BP, spirometry	Ground floor	**12.0**	**2%**
Two procedure suites	First floor, converted kitchen and service area	**40.0**	**6%**
CSSD: autoclave, washer, sterile storage	First floor	**25.0**	**4%**
Observation unit, 9 beds and monitoring	6 general, 3 executive	**35.0**	**5%**
Pharmacy fit, shelving and cold chain	Ground floor	**15.0**	**2%**
IT: HIS, LIS, PACS, network, archive	Boys' quarters	**45.0**	**6%**
Category B furniture and consulting fit	Whole building	**30.0**	**4%**
Biomedical workshop	Boys' quarters	**8.0**	**1%**
Launch campaign	Whole building	**50.0**	**7%**
Registration, licence and regulatory	FCT, MDCN, MLSCN, PCN, NAFDAC	**6.0**	**1%**
Working capital	A lab and a pharmacy carry stock	**80.0**	**11%**
TOTAL CAPITAL REQUIREMENT		**696.0**	**100%**

DIAGNOSTICS

NGN 362 M

52 per cent of capital
the part that earns on every patient

CLINICAL

NGN 100 M

14 per cent of capital
procedures, sterile services, 9 beds

SYSTEMS AND FIT

NGN 98 M

14 per cent of capital
what the building needs to run

LAUNCH AND STOCK

NGN 136 M

20 per cent of capital
cash out before the first bill

The diagnostic hub is NGN 362 M of it, and it is the part that earns.

LABORATORY, THE CHALET

Item	NGN M
Chemistry analyser, random access, with ISE	45.0
Immunoassay, chemiluminescence	42.0
Haematology, 5 part differential	28.0
PCR: thermocycler, extraction, biosafety cabinet	25.0
Coagulation analyser	15.0
Microbiology: incubator, autoclave, microscopy	12.0
Centrifuges, cold chain, water system, benching	13.0
Laboratory total	**180.0**

IMAGING AND CARDIOLOGY, GROUND FLOOR

Item	NGN M
Digital radiography, flat panel detector	62.0
Ultrasound, multi probe with Doppler	45.0
Echocardiography system	35.0
X-ray room shielding, lead lining, warning systems	18.0
Cardiology: ECG, Holter, ambulatory BP, spirometry	12.0
Radiology console, reporting workstation, DICOM	10.0
Imaging and cardiology total	**182.0**

Indicative at supplier list level, not yet quoted. Firmed at the bill of quantities with the site design in two weeks. The laboratory is the single largest line in the project and the one with the most room to move: a refurbished chemistry and immunoassay pair, or a reagent rental arrangement, moves NGN 87 M of day one capital into cost of sales.

Procedures, observation, dispensary and systems.

PROCEDURE SUITES AND CSSD, FIRST FLOOR

Item	NGN M
Two procedure tables, lights, diathermy	**22.0**
Monitoring, suction, crash trolley	**18.0**
CSSD: autoclave	**14.0**
CSSD: washer disinfector	**7.0**
CSSD: sterile packing and storage	**4.0**
Total	**65.0**

OBSERVATION UNIT, 9 BEDS

Item	NGN M
Nine beds, lockers and bed side fit	**14.0**
Patient monitors and central station	**15.0**
Infusion pumps, trolleys and resuscitation	**6.0**
Total	**35.0**

SYSTEMS, FURNITURE AND DISPENSARY

Item	NGN M
HIS, LIS and PACS, with implementation	**28.0**
Network, servers, archive and cabling	**17.0**
Category B furniture and consulting fit	**30.0**
Pharmacy fit, shelving and cold chain	**15.0**
Biomedical workshop	**8.0**
Total	**98.0**

NOT EQUIPMENT, BUT STILL DAY ONE CASH

Line	NGN M	Note
Launch campaign	**50.0**	Eight weeks either side of opening
Registration, licence and regulatory	**6.0**	FCT, MDCN, MLSCN, PCN, NAFDAC
Working capital: reagent, drug and consumable stock	**80.0**	A laboratory and a pharmacy carry stock before they bill

The procedure suites and the observation unit are the two lines that can be phased. Deferring the second suite and three of the nine beds holds back about NGN 25 M of day one capital, at the cost of turning work away in year two. The dispensary and the systems cannot be phased: the centre cannot open without a pharmacy or a laboratory information system.

37 posts, NGN 20.7 M a month loaded.

Role	Posts	Gross each	Gross a month	Loaded a month
Nursing, including observation unit	10	380,000	3,800,000	4,636,000
Laboratory scientists and technicians	6	450,000	2,700,000	3,294,000
Radiographers and sonographer	3	550,000	1,650,000	2,013,000
Cardiac technician	1	400,000	400,000	488,000
Pharmacists and dispensary	3	480,000	1,440,000	1,756,800
Concierge and case management	3	450,000	1,350,000	1,647,000
Reception, registration and cashier	4	300,000	1,200,000	1,464,000
Billing, claims and accounts	3	400,000	1,200,000	1,464,000
Biomedical engineer	1	500,000	500,000	610,000
Centre management	3	900,000	2,700,000	3,294,000
TOTAL ESTABLISHMENT	**37**		**16,940,000**	**20,666,800**

Gross salary is grossed up 22 per cent for the employer stack: pension at 10 per cent, the thirteenth month at 8.3, NSITF, ITF, group life and staff health cover. That is NGN 3.7 M a month of on-costs on top of the NGN 16.9 M payroll, and NGN 45 M a year. No clinicians sit in this table. Consultants are paid 60 per cent of the consultation fee they generate and carry no establishment cost, which is what keeps the fixed base survivable in a slow ramp.

Not all of it starts on day one. The model carries 45 per cent of the fixed base through the 3 fit-out months, NGN 80 M in total, for the management, laboratory and concierge posts that have to be in place before the doors open. That pre-opening burn sits inside the NGN 1,122 M funding requirement, not outside it.

VARIABLE COST

What one patient costs, and the rate behind each line.

Cost line	The rate it is struck at	NGN	Of revenue
Doctor fee	60% of a local consultation, 50% of an As-Salam one	**24,832**	**10.7%**
Laboratory reagents	32% of laboratory revenue	**10,080**	**4.4%**
Imaging and cardiology consumables	8% of imaging revenue	**2,320**	**1.0%**
Pharmacy cost of goods	72% of dispensary revenue	**9,000**	**3.9%**
Procedure consumables	22% of procedure revenue	**6,160**	**2.7%**
Observation consumables	18% of observation revenue	**1,944**	**0.8%**
Consultant share of the referral	5% of the As-Salam commission	**2,930**	**1.3%**
DIRECT COST PER PATIENT		**57,266**	**24.8%**
CONTRIBUTION PER PATIENT		**174,049**	**75%**

Nothing in this table is a fixed cost. If nobody comes through the door, none of it is incurred. The executive health package carries one variable line only, the workup inside it at 30 per cent of the NGN 450,000 ticket, which is why it contributes NGN 315,000 and is worth chasing harder than walk-in volume.

The fixed base: NGN 59.4 M a month at opening, NGN 956 M a year by year five.

Line	Year 1	Monthly	Year 2	Year 3	Year 4	Year 5
Occupancy, 664.3 sqm at NGN 470,000 a sqm	312.2	26.0	349.7	391.7	438.6	491.3
Personnel, 37 posts loaded	248.0	20.7	248.0	248.0	248.0	248.0
Marketing and demand generation	70.0	5.8	75.0	82.5	90.8	99.8
As-Salam consultant travel	18.0	1.5	18.0	19.8	21.8	24.0
Accommodation	10.0	0.8	10.0	11.0	12.1	13.3
Biomedical maintenance contracts	22.0	1.8	26.0	30.0	33.0	36.0
Business travel	10.0	0.8	10.0	11.0	12.1	13.3
Office and administration	8.0	0.7	8.8	9.7	10.6	11.7
Contingency and miscellaneous	10.0	0.8	11.0	12.1	13.3	14.6
Licences and annual returns	4.0	0.3	4.0	4.0	4.0	4.0
TOTAL OPERATING COST	712.2	59.4	760.5	819.8	884.3	956.0

Occupancy escalates 12 per cent a year on the Lyfe Place all in rate, which covers rent, service charge, power and the common parts. Payroll is held flat in naira terms and will not be: assume a review in year two. Marketing steps up 10 per cent a year, which is the minimum for a destination that has to be told about rather than walked past.

What this estimate is, and what it is not.

It is an AACE Class 4 estimate: minus 15 to plus 30 per cent.

Built from supplier list levels and Nigerian cost benchmarks, not from quotations. On NGN 696 M of capital that is a range of NGN 592 M to NGN 905 M. Take the top of the range into the funding conversation and be pleased if it comes in lower.

Three lines carry most of the estimating risk.

The laboratory at NGN 180 M, imaging and cardiology at NGN 182 M and working capital at NGN 80 M. The first two are import priced and move with the naira. The third is the one most often underestimated, because a laboratory buys reagents before it bills for a single test.

It excludes the building works, which sit with the landlord.

Partitions, power, cooling, medical gas, fire detection and the general fit are inside the Lyfe Place fit-out budget and are recovered through the NGN 470,000 a sqm occupancy rate, not through this capital table. What is here is what the SPV owns and depreciates over 7 years.

It excludes the operating losses.

Capital of NGN 696 M is not the funding requirement. The SPV loses NGN 426 M before it turns, and total funding to the deepest point is NGN 1,122 M. That number, not this one, is what goes in the shareholder agreement.